Senate File 657

S-3175

Amend Senate File 657 as follows:

1. Page 1, line 21, after <business> by inserting <or revoked by the authority>

2. Page 1, line 23, after <declination> by inserting <or revocation>

3. Page 2, by striking line 15 and inserting:

<~~*e.*~~ *a.* (1) The tax credits for investments in an innovation fund>

4. Page 2, after line 23 by inserting:

<(2) For the fiscal year beginning July 1, 2025, the allocation pursuant to this paragraph shall be reduced by any tax credit authorized by the authority prior to July 1, 2026, for an investment in a qualifying business pursuant to chapter 15E, subchapter V, Code 2025. This subparagraph is repealed July 1, 2026.>

5. Page 3, by striking lines 27 and 28 and inserting <pursuant to this subsection for the fiscal year beginning July 1, 2026, and for each fiscal year thereafter, the>

6. Page 3, after line 30 by inserting:

<*e.* (1) The high quality jobs program administered pursuant to chapter 15, subchapter II, part 13, and the business incentives for growth program administered pursuant to chapter 15, subchapter II, part 33. In allocating tax credits pursuant to this subsection, the authority shall allocate fifty million dollars in the aggregate for purposes of this paragraph, by allocating tax credits to the high quality jobs program prior to January 1, 2026, and by allocating the remaining tax credits to the business incentives for growth program on or after January 1, 2026.

(2) This paragraph is repealed July 1, 2026.>

7. Page 4, line 32, by striking <~~*"h"*~~*"b"*> and inserting <~~*"h"*~~ *"b"*>

8. Page 4, after line 32 by inserting:

<Sec. ___. Section 15.354, subsection 2, paragraph a, Code 2025, is amended to read as follows:

a. All completed applications shall be reviewed and scored on a competitive basis by the authority pursuant to rules adopted by the authority. In scoring applications, the authority may award additional points for all of the following:

(1) A housing project located in a community where no housing project has been awarded a tax incentive under the program in the immediately preceding three application periods.

(2) A housing project located in a community where a recent or planned business expansion, or a new business, has received a tax incentive or financial assistance under the high quality jobs program administered pursuant to subchapter II, part 13, the major economic growth attraction program administered pursuant to subchapter II, part 32, or the business incentives for growth program administered pursuant to subchapter II, part 33.>

9. Page 5, line 4, by striking <forty-three million> and inserting <thirty-nine million five hundred thousand>

10. Page 5, line 7, by striking <forty million> and inserting <thirty-six million five hundred thousand>

11. Page 5, line 27, after <occurs.> by inserting <Tax credits awarded pursuant to this paragraph shall not be counted against the tax credit limit established in paragraph *"a"*.>

12. Page 7, line 20, after <support.> by inserting <For purposes of this subparagraph, *"program support"* means the services necessary for the efficient administration of a program administered by the authority, including but not limited to administrative costs, conducting a statewide laborshed study in coordination with the department of workforce development, outreach to business and marketing programs, the procurement of technical assistance, and the implementation of information technology.>

13. Page 9, by striking lines 19 and 20 and inserting <directly related to the start-up, location, modernization, or expansion of an eligible business and proposed in an eligible business's application to the>

14. Page 9, by striking lines 30 through 33 and inserting <real property, including the purchase price of the land and existing buildings and structures, site preparation, improvements to the real property, building construction, and long-term lease costs. *“Qualifying investment”* also means a capital investment in depreciable>

15. Page 10, after line 6 by inserting:

<16. *“Retained job”* means a full-time equivalent position that is in existence at the time an eligible business applies for the program that remains continuously filled, and that is at risk of elimination if the proposed project for which the eligible business is applying to the program does not proceed.>

16. Page 10, line 7, by striking <16.> and inserting <17.>

17. Page 10, line 11, by striking <17.> and inserting <18.>

18. Page 11, line 15, by striking <provide> and inserting <offer>

19. Page 12, by striking line 25 and inserting <an ongoing basis, or will result in increased skills and wages for employees of the eligible business.>

20. Page 13, by striking line 21 and inserting <investment, unless the eligible business's project is located in a rural county, in which case the maximum aggregate value of tax incentives that any one eligible business may receive shall not exceed seven and one-half percent of the eligible business's qualifying investment. For purposes of this paragraph, *“rural county”* means a county in the state with a population of twenty thousand or less based on the most recent decennial census released by the United States census bureau.>

21. Page 14, line 4, by striking <The> and inserting <After a final determination by the authority, the>

22. Page 14, line 23, after <date,> by inserting <the agreement end date, the base employment level, any retained jobs,>

23. Page 14, by striking line 28 and inserting <necessary or material to the determination of the business's eligibility for

the program, or the aggregate value of tax incentives approved by the board.>

24. Page 15, by striking line 12 and inserting <terms of the agreement until the agreement end date. An eligible business shall maintain the business's base employment level until the agreement end date.>

25. Page 16, by striking line 3 and inserting <paid during the period for which the refund is claimed, and shall submit the forms>

26. Page 16, by striking lines 5 through 7 and inserting:

<*b.* The eligible business shall, no more frequently than quarterly, submit an>

27. Page 16, line 18, after <business's> by inserting <final>

28. Page 16, by striking lines 21 and 22 and inserting <this section shall not be denied by reason of a time limitation for filing a refund claim set forth in section 423.47.>

29. Page 16, line 24, by striking <on a quarterly basis.> and inserting <as soon as practicable after completion of the audit pursuant to paragraph *"b"*.>

30. Page 17, line 2, by striking <The>

31. Page 17, by striking line 3 and inserting <An eligible business may claim the tax credit authorized and issued by the authority. The tax credit shall be amortized to the>

32. Page 17, line 19, after <refunded.> by inserting <In lieu of claiming a refund, an eligible business may elect to have the overpayment shown on the eligible business's final, completed return credited to the eligible business's tax liability for the immediately succeeding tax year.>

33. Page 18, after line 26 by inserting:

<*f.* Except as provided in section 15.119, subsection 1, paragraph *"b"*, the board shall not authorize for any one fiscal year an amount of tax credits pursuant to this section that exceeds the amount allocated pursuant to section 15.119, subsection 2.>

34. Page 19, by striking line 3 and inserting:

<1. If an eligible business has been authorized by the board to receive tax incentives under the program, a community in which the eligible business's project>

35. Page 19, line 18, after <assistance> by inserting <to an eligible business>

36. Page 19, by striking line 25 and inserting <for the project.>

37. Page 19, line 28, after <15.506.> by inserting <The agreement shall specify the circumstances under which the financial assistance must be repaid to the authority.>

38. Page 19, after line 32 by inserting:

<4. For purposes of this section, *"financial assistance"* means assistance provided exclusively from the funds, rights, and assets legally available to the authority pursuant to this chapter and includes but is not limited to assistance in the form of grants, loans, forgivable loans, and royalty payments.>

39. Page 20, line 8, after <PROVISIONS.> by inserting <1.>

40. Page 20, after line 12 by inserting:

<2. On the effective date of this division of this Act, all moneys appropriated by the general assembly to the authority for purposes of section 15.335B shall remain available to the authority for purposes of section 15.111, as enacted by this Act. Notwithstanding section 8.33, moneys transferred in accordance with this section that remain unencumbered or unobligated at the close of the fiscal year shall not revert but shall remain available for expenditure for the purposes designated until the close of the succeeding fiscal year.>

41. Page 21, by striking line 16 and inserting <section 15.330, subsection 12, ~~section 15E.198, Code 2014,~~ Code 2025, and>

42. By striking page 21, line 28, through page 22, line 6, and inserting <credit award. ~~The department of revenue, upon notification by the authority of an event of default, shall seek repayment of the value of any such tax credit already~~

~~claimed in the same manner as provided in section 15.330, subsection 2.~~ After a final determination by the authority, the authority shall notify the department of revenue of any required repayment or recapture of a tax credit. The repayment or recapture of a tax credit pursuant to this subsection shall be considered a tax payment due and payable to the department of revenue by any taxpayer who has claimed the tax credit, and the failure to make such a repayment may be treated by the department of revenue in the same manner as a failure to pay the tax shown due or required to be shown due with the filing of a return or deposit form.>

43. Page 23, by striking lines 21 through 29 and inserting <tax credits claimed. ~~The repayment or recapture of tax credits pursuant to this subsection shall be accomplished in the same manner as provided in section 15.330, subsection 2.~~ After a final determination by the authority, the authority shall notify the department of revenue of any required repayment or recapture of a tax credit. The repayment or recapture of a tax credit pursuant to this subsection shall be considered a tax payment due and payable to the department of revenue by any taxpayer who has claimed the tax credit, and the failure to make such a repayment may be treated by the department of revenue in the same manner as a failure to pay the tax shown due or required to be shown due with the filing of a return or deposit form.>

44. Page 24, by striking lines 10 and 11 and inserting:

<Sec. ___. Section 15.354, subsection 1, paragraph c, Code 2025, is amended to read as follows:

c. In addition to complying with all applicable requirements in paragraph *"b"*, a housing business that chooses to be considered as an applicant for tax credits reserved ~~pursuant to section 15.119, subsection 5,~~ for disaster recovery housing projects shall also submit a certification that the applicant's housing project is located in a county that has been declared a major disaster by the president of the United States on or after March 12, 2019, and is also a county in which individuals are eligible for federal individual assistance. The housing business must also submit documentation that provides evidence that the qualified housing project is needed due to impact of the disaster that is the subject of the presidential major disaster declaration.>

45. Page 24, by striking lines 21 and 22 and inserting <issuance of a tax incentive certificate.>

46. Page 24, by striking lines 24 through 29 and inserting <one-half of one percent of the value of tax incentives available pursuant to an agreement that has an aggregate tax incentive value of one hundred thousand dollars or greater. The authority shall collect the fee from the housing business prior to the issuance of a tax incentive.>

47. Page 25, by striking lines 4 through 12 and inserting <of tax incentives claimed under section 15.355. ~~The repayment or recapture of tax incentives pursuant to this section shall be accomplished in the same manner as provided in section 15.330, subsection 2.~~ After a final determination by the authority, the authority shall notify the department of revenue of any required repayment or recapture of a tax credit. The repayment or recapture of a tax credit pursuant to this subsection shall be considered a tax payment due and payable to the department of revenue by any taxpayer who has claimed the tax credit, and the failure to make such a repayment may be treated by the department of revenue in the same manner as a failure to pay the tax shown due or required to be shown due with the filing of a return or deposit form.>

48. Page 25, before line 13 by inserting:

<Sec. ___. Section 15.355, subsection 2, paragraph b, subparagraph (3), subparagraph division (a), Code 2025, is amended to read as follows:

(a) The housing business shall, after the agreement completion date, make application to the department of revenue for any refund of the amount of sales and use taxes paid under chapter 423 prior to the completion of the housing project that were directly related to a housing project and specified in the agreement. The application shall be made in the manner and upon forms to be provided by the department of revenue. The department of revenue shall audit the claim and, if approved, issue a warrant to the housing business. The application must be made within one year after the agreement completion date. A claim filed by the housing business in accordance with this subsection shall not be denied by reason of a time limitation ~~provision~~ for filing a refund claim set forth in ~~chapter 421 or 423~~ section 423.47.>

49. By striking page 25, line 34, through page 26, line 2, and inserting <businesses through the provision of technical assistance. The authority may provide financial assistance under this section from moneys allocated for financial assistance for business accelerators pursuant to section ~~15.335B, subsection 2~~ 15.111.>

50. Page 28, by striking lines 9 through 12 and inserting <assistance to the person. ~~The office shall assist the person in completing any technical information required in order to receive assistance by the economic development authority pursuant to section 15.335B.~~>

51. Page 28, by striking lines 13 through 19.

52. Page 28, by striking lines 22 and 23 and inserting:

<Sec. ___. Section 422.11F, subsection 2, Code 2025, is amended to read as follows:

2. The taxes imposed under this subchapter, less the credits allowed under section 422.12, shall be reduced by investment tax credits authorized pursuant to ~~section 15.333 and section 15E.193B, subsection 6, Code 2014~~ sections 15.508 and 15.496.>

53. Page 28, by striking lines 26 and 27 and inserting:

<Sec. ___. Section 422.33, subsection 12, paragraph b, Code 2025, is amended to read as follows:

b. The taxes imposed under this subchapter shall be reduced by investment tax credits authorized pursuant to ~~section 15.333~~

~~and section 15E.193B, subsection 6, Code 2014~~ sections 15.508 and 15.496.>

54. Page 28, by striking lines 30 and 31 and inserting:

<Sec. ___. Section 422.60, subsection 5, paragraph b, Code 2025, is amended to read as follows:

b. The taxes imposed under this subchapter shall be reduced by investment tax credits authorized pursuant to sections ~~15.333 and 15E.193B, subsection 6, Code 2014~~ 15.508 and 15.496.>

55. Page 29, by striking lines 5 through 13 and inserting:

<Sec. ___. Section 432.12C, subsection 2, Code 2025, is amended to read as follows:

2. The taxes imposed under this chapter shall be reduced by investment tax credits authorized pursuant to ~~section 15.333A and section 15E.193B, subsection 6, Code 2014~~ sections 15.508 and 15.496.

Sec. ___. Section 455B.104, subsection 2, Code 2025, is amended by striking the subsection.

Sec. ___. Section 533.329, subsection 2, paragraph c, Code 2025, is amended by striking the paragraph.

Sec. ___. Section 533.329, subsection 2, paragraph d, Code 2025, is amended to read as follows:

d. The moneys and credits tax imposed under this section shall be reduced by an investment tax credit authorized pursuant to ~~section 15.333~~ sections 15.508 and 15.496.>

56. Page 29, line 14, after <15E.233,> by inserting <266.19,>

57. Page 29, line 28, after <PROGRAM> by inserting <AND INNOVATION FUND INVESTMENT TAX CREDITS>

58. Page 30, line 23, after <less> by inserting <based on the most recent decennial census released by the United States census bureau>

59. Page 30, line 25, after <thousand> by inserting <based on the most recent decennial census released by the United States census bureau>

60. Page 31, after line 22 by inserting:

<*f.* In lieu of claiming a refund, a taxpayer may elect to have the overpayment shown on the taxpayer's final, completed return credited to the tax liability for the immediately succeeding tax year.>

61. By striking page 31, line 30, through page 32, line 5, and inserting:

<*b.* (1) The maximum amount of a tax credit that may be issued per fiscal year to a natural person and the person's spouse or dependent shall not exceed one hundred thousand dollars combined. For purposes of this subparagraph, *"dependent"* has the same meaning as defined by the Internal Revenue Code.

(2) The maximum amount of a tax credit that may be issued per fiscal year to a corporation or other entity shall not exceed one hundred thousand dollars.

(3) An application received by the authority that exceeds the maximum amount of tax credits permitted by this paragraph shall be denied, in whole or in part, regardless of whether the investment would otherwise be eligible to qualify for a tax credit.

(4) For purposes of this paragraph, a tax credit issued to a partnership, limited liability company, S corporation, estate, or trust electing to have income taxed directly to the individual shall be deemed to be issued to the individual owners based upon the pro rata share of the individual's earnings from the entity.>

62. Page 32, line 8, after <dollars.> by inserting <An application received by the authority that exceeds the maximum amount of tax credits permitted by this paragraph shall be denied, in whole or in part, regardless of whether the investment would otherwise be eligible to qualify for a tax credit.>

63. By striking page 32, line 27, through page 33, line 2, and inserting:

<1. To determine whether a business is a qualifying business, a business shall submit an application to the authority that is accompanied by a nonrefundable application fee. A business must be certified by the authority as a qualifying business in order for an investor's equity investment to qualify for a tax credit.>

64. Page 33, line 13, after <technologies.> by inserting <The business shall not be primarily engaged in retail sales, real estate, the provision of health care, or the provision of services that require a professional license. In determining whether a business is primarily engaged in advanced manufacturing, biosciences, insurance and finance, or technologies, the authority shall consider the business's North American industry classification system code, the business's main sources of revenue, and the business's customer base.>

65. Page 33, line 15, by striking <a larger parent company.> and inserting <a business that is not a qualifying business.>

66. Page 33, by striking lines 23 through 25.

67. Page 33, line 26, by striking <*h.*> and inserting <*g.*>

68. Page 33, line 26, by striking <two> and inserting <ten>

69. Page 33, line 28, by striking <*i.*> and inserting <*h.*>

70. Page 33, by striking lines 30 through 32 and inserting:

<(1) At least two investors. For purposes of this subparagraph, *"investor"* includes a person who executes a binding investment commitment to a qualifying business, and does not include an affiliate of a qualifying business or an affiliate of a qualifying business's principals.>

71. Page 34, line 6, after <year.> by inserting <The authority may revoke the certification of a qualifying business that no longer meets the requirements of this section.>

72. Page 34, by striking lines 7 through 20 and inserting:

<4. A business that has been certified by the authority as a qualifying business shall annually submit an application to the authority that documents continued eligibility as a qualifying business and any investments that may qualify for a tax credit.

The business shall submit the application to the authority during an annual application period designated by the authority by rule.

5. Based on the applications submitted by qualifying businesses pursuant to subsection 4, the authority shall make an initial allocation of tax credits in the order in which the applications are received until the maximum amount of tax credits determined by the board pursuant to section 15.119, subsection 2, is reached. Equity investors that are eligible for a tax credit based on such initial allocation shall submit any additional information requested by the authority necessary to verify the eligibility of the investor and to issue a tax credit certificate. An equity investor that does not submit the required information may be denied a tax credit. If any equity investor included in the initial allocation is denied a tax credit, the authority may allocate such tax credits to equity investors that were not included in the initial allocation.

6. Upon receipt of all required information from a qualifying business and an equity investor, the director of the authority may approve issuance of a tax credit certificate to be included with the equity investor´s tax return. The tax credit certificate shall contain the taxpayer´s name, address, tax identification number, the amount of tax credit, the name of the qualifying business, and any other information required by the department of revenue. The tax credit certificate, unless rescinded by the authority, shall be accepted by the department of revenue as payment for taxes imposed pursuant to chapter 422, subchapters II, III, and V, and in chapter 432, and for the moneys and credits tax imposed in section 533.329, subject to any conditions or restrictions placed by the authority upon the face of the tax credit certificate and subject to the limitations of section 15E.27.>

73. Page 38, after line 12 by inserting:

<(3) A company that has, in the three consecutive years

immediately preceding an application for a rebate, had the company's principal place of business in this state and produced a qualified production.>

74. Page 38, by striking lines 20 through 35 and inserting <facilities must require that a facility have an agreement between the authority and the facility that the phrase "filmed in Iowa" appears noticeably in the credits of the qualified production.>

75. Page 39, by striking lines 3 and 4 and inserting:

<(a) A total production budget of at least one million dollars, including at least five hundred thousand dollars in qualified expenditures, and evidence that the total production budget is fully funded.>

76. Page 39, line 10, after <of> by inserting <expenses>

77. Page 39, by striking lines 19 through 21 and inserting:

<(b) Documentation that all qualified expenses were incurred following approval of the application for rebate by the authority.>

78. Page 39, by striking lines 24 and 25 and inserting <for approval in the form and manner prescribed by the authority. In determining whether to approve a rebate, the factors the authority may consider include but are not limited to all of the following:

a. The extent to which the applicant will participate in training, education, and recruitment programs that are organized in cooperation with interested Iowa colleges and universities, and that are designed to promote and encourage the training and hiring of Iowa residents.

b. Whether the rebate will incentivize a qualified production facility to choose an Iowa location for its qualified production rather than an out-of-state location.

c. The likelihood that approval of the rebate will result in an overall long-term positive impact to the state.>

79. Page 39, line 29, after <facility's> by inserting <documented>

80. Page 40, line 16, by striking <ten> and inserting <four>

81. By striking page 40, line 34, through page 42, line 31.

82. Page 45, line 16, by striking <REPEAL>

83. By striking page 45, line 17, through page 48, line 32, and inserting:

<Sec. ___. Section 15E.303, subsections 1, 2, and 6, Code 2025, are amended by striking the subsections.

Sec. ___. Section 15E.305, subsection 2, unnumbered paragraph 1, Code 2025, is amended to read as follows:

The aggregate amount of tax credits authorized pursuant to this section shall not exceed a total of ~~six~~ three million five hundred thousand dollars annually.

Sec. ___. Section 15E.305, subsection 2, paragraph a, Code 2025, is amended to read as follows:

a. The maximum amount of tax credits granted to a taxpayer shall not exceed ~~one hundred~~ fifty thousand dollars.

Sec. ___. Section 15E.305, Code 2025, is amended by adding the following new subsection:

NEW SUBSECTION. 3A. In addition to the other eligibility requirements for receiving a tax credit under this section, to be eligible to receive a tax credit pursuant to this section all of the following must apply:

a. The endow Iowa qualified community foundation and permanent endowment fund do not contain the name of a corporation or other business entity.

b. The endow Iowa qualified community foundation submitted a report to the general assembly by January 31 detailing the specific grants provided during the calendar year preceding the applicable tax year.

c. The community foundation that administers a permanent endowment fund for which a taxpayer requests a tax credit has provided any information requested by the authority to verify whether a contribution to the permanent endowment fund is eligible for the tax credit.

Sec. ___. Section 15E.311, subsection 4, paragraph c, Code

2025, is amended to read as follows:

c. *"Eligible county recipient"* means an endow Iowa qualified community foundation or community affiliate organization, as defined in section 15E.303, that is selected~~, in accordance with the procedures described in section 15E.304,~~ to receive moneys from an account created in this section for a particular county. To be selected as an eligible county recipient, a community affiliate organization shall establish a county affiliate fund to receive moneys as provided by this section.

Sec. ____. Section 15E.311, subsection 6, Code 2025, is amended by striking the subsection.>

84. Page 48, after line 34 by inserting:

<Sec. ____. EFFECTIVE DATE. This division of this Act takes effect January 1, 2026.

Sec. ____. APPLICABILITY. This division of this Act applies to tax years beginning on or after January 1, 2026.>

85. Page 51, after line 18 by inserting:

<3. A business that shall not be considered to be engaged in advanced manufacturing, bioscience, insurance and finance, or technology and innovation under subsection 1, and thus is not eligible for the credit, includes but is not limited to all of the following:

a. A business engaged in agriculture production as defined in section 423.1.

b. A business that is a contractor, subcontractor, builder, or a contractor-retailer that engages in commercial and residential repair and installation, including but not limited to heating or cooling installation and repair, plumbing and pipe fitting, security system installation, and electrical installation and repair. For purposes of this paragraph, *"contractor-retailer"* means a business that makes frequent retail sales to the public or to other contractors and that also engages in the performance of construction contracts.

c. A finance or investment company.

d. A retailer.

e. A wholesaler.

f. A transportation company.

g. An ethanol biorefinery.

h. An agricultural cooperative association as defined in section 502.102.

i. A real estate company.

j. A collection agency.

k. An accountant.

l. An architect.

m. A publisher.>

86. Page 51, line 33, after <business> by inserting <that continues to meet the requirements of the program and the agreement entered pursuant to subsection 3>

87. Page 51, line 35, after <increments.> by inserting <A business that does not demonstrate an increase in eligible expenditures may be denied recertification by the authority. A business that is denied certification or recertification may reapply. The authority may specify the length of time after the denial when the business is eligible to reapply.>

88. Page 52, by striking lines 4 through 16 and inserting:

<4. Each year after certification as a qualified business, the qualified business shall submit an application to the authority for a tax credit based on the amount of eligible expenditures that were included in Section F of Internal Revenue Form 6765 that was submitted with the qualified business's most recently filed and accepted federal tax return. The application shall include a verification of eligible expenditures by procedures prescribed by the authority by rule. The qualified business shall engage an independent certified public accountant authorized to practice in this state to conduct the verification. A qualified business shall submit the application to the authority by January 31 following the most recently filed and accepted federal tax return for a tax year in which the business is determined to be a qualified business.

5. Each fiscal year, the authority will approve tax credit awards by apportioning the amount of tax credits available pursuant to section 15.119 on a pro rata basis, based on the total amount of eligible expenditures incurred by all qualified businesses that are awarded a tax credit. Up to five percent of the amount of tax credits available pursuant to section 15.119 may be awarded as additional tax credits to qualified businesses that demonstrate an increase in eligible expenditures.

6. If the qualified business fails to comply with any requirements of the program or the agreement entered pursuant to subsection 3 as determined by the authority, the qualified business may have its certification as a qualified business revoked or be required to repay any tax credit the authority issued to the qualified business. After a final determination, the authority will notify the department of revenue of any required repayment of a tax credit. Such repayment shall be considered a tax payment due and payable to the department of revenue by any taxpayer that claimed the tax incentive, and the failure to make the repayment may be treated by the department of revenue in the same manner as a failure to pay the tax shown due, or required to be shown due, with the filing of a return or deposit form.

7. A qualified business that claims a research activities credit pursuant to section 422.10 or 422.33, Code 2025, shall not claim a research and development tax credit awarded pursuant to this part on the same tax return.>

89. Page 52, by striking lines 22 through 24 and inserting:

<2. Upon submission of the documentation required pursuant to section 15.523, subsection 4, and verification of eligible expenditures by the authority, the authority may issue a tax credit>

90. Page 52, line 29, by striking <for the tax year> and inserting <in the tax year immediately following the tax year>

91. Page 53, by striking lines 25 through 32 and inserting:

<8. A qualified business that was approved to receive a research activities credit pursuant to section 15.335, Code 2025, prior to January 1, 2026, shall not claim such tax credit and a research and development tax credit pursuant to this part on the same tax return.>

92. Page 54, line 3, after <The> by inserting <qualified>

93. Page 55, by striking lines 17 and 18 and inserting <oil, soybean oil, animal fats, used cooking oil, and algae.>

94. By striking page 55, line 24, through page 56, line 9, and inserting:

<5. *"Sustainable aviation fuel"* means the portion of a liquid fuel meeting the requirements of ASTM D7566 or the Fischer Tropsch provisions of ASTM D1655, Annex A1, derived from feedstock not including palm fatty acid distillates and that achieves at least a fifty percent life cycle greenhouse gas emissions reduction as determined by any of the following:

a. The fuel production pathway achieves at least a fifty percent life cycle greenhouse gas emission reduction in comparison with petroleum-based aviation gasoline, aviation turbine fuel, and jet fuel utilizing the most recent version of the GREET (Argonne national laboratory's greenhouse gases, regulated emissions, and energy use in technologies) model that accounts for reduced emissions throughout the fuel production process.

b. The fuel production pathway achieves at least a fifty percent reduction in comparison with petroleum-based aviation gasoline, aviation turbine fuel, and jet fuel utilizing the most recent version of the default life cycle emission value or actual core life cycle emissions value under the most recent carbon offsetting and reduction scheme for international aviation methodology for sustainable aviation fuels adopted by the international civil aviation organization.>

95. Page 57, by striking lines 23 through 31 and inserting:

<3. The failure by an eligible business in fulfilling any requirement of the program or any of the terms and obligations

of an agreement entered into pursuant to this section may result in the reduction, termination, or rescission of the tax credits under section 15.533 and may subject the eligible business to the repayment or recapture of tax credits claimed. After a final determination, the authority will notify the department of revenue of any required repayment of a tax credit. Such repayment shall be considered a tax payment due and payable to the department of revenue by any taxpayer that claimed the tax credit, and the failure to make the repayment may be treated by the department of revenue in the same manner as a failure to pay the tax shown due, or required to be shown due, with the filing of a return or deposit form.>

96. Page 59, line 22, after <of> by inserting <sustainable>

97. Page 59, line 26, by striking <calendar> and inserting <fiscal>

98. Page 59, line 28, by striking <calendar> and inserting <fiscal>

99. Page 59, line 31, after <report> by inserting <, developed in cooperation with the department of revenue,>

100. Page 59, line 32, by striking <calendar> and inserting <fiscal>

101. Page 60, line 10, after <established> by inserting <pursuant to section 15.532>

102. Page 60, line 13, by striking <2, paragraph *"e"*> and inserting <2>

103. Page 61, line 16, by striking <The> and inserting <After a final determination, the>

104. Page 62, by striking lines 20 through 23 and inserting <after the project completion date. An application filed by the eligible business in accordance with this section shall not be denied by reason of a time limitation for filing a refund claim set forth in ~~chapter 421 or 423~~ section 423.47.>

105. Page 62, lines 25 and 26, by striking <on a quarterly basis> and inserting <as soon as practicable after completion of an audit pursuant to paragraph *"b"*>

106. Page 62, after line 28 by inserting:

<DIVISION ___

MASS LAYOFFS AND BUSINESS CLOSURES

Sec. ___. NEW SECTION. **15.112 Mass layoffs and business closures.**

If an entity that is awarded a tax incentive or other financial assistance under any of the programs administered by the authority experiences a business closure or a mass layoff for which notice is required under chapter 84C, the authority may reduce or eliminate some or all of the financial assistance awarded by the authority to the entity.

DIVISION ___

CONFORMING CHANGES

Sec. ___. Section 8.55, subsection 3, paragraph f, subparagraph (2), subparagraph division (a), as enacted by 2025 Iowa Acts, Senate File 619, section 82, is amended to read as follows:

(a) Disaster aid provided to businesses engaged in disaster recovery as described in ~~chapter 15, subchapter II, part 13~~ section 15.111, and housing businesses engaged in disaster recovery housing projects as defined in section 15.354, subsection 6.

Sec. ___. 2025 Iowa Acts, House File 975, section 10, if enacted, is amended to read as follows:

SEC. 10. TRANSFER OF MONEYS. On the effective date of this division of this Act, any unencumbered or unobligated moneys remaining in the brownfield redevelopment fund created in section 15.293 are transferred to a fund or funds established pursuant to section ~~15.335B~~ 15.111, subsection 1, paragraph "a", as determined by the economic development authority.

DIVISION ___

RESEARCH ACTIVITIES TAX CREDIT — AGRISCIENCE

Sec. ___. Section 422.10, subsection 1, paragraph a, subparagraph (1), subparagraph division (b), subparagraph subdivision (i), Code 2025, is amended to read as follows:

(i) (A) A person engaged in agricultural production as defined in section 423.1 except if the credit is based on conducting agriscience research as defined in subparagraph part (B) and the person or the business is engaged in bovine and porcine veterinary research, the person shall not be considered to be engaged in agricultural production as defined in section 423.1.

(B) As used in this subparagraph subdivision, *"agriscience research"* means research that is approved and overseen or monitored by a board that includes, at a minimum, an individual who was employed with, contracted by, or professionally trained by an accredited university as a researcher in an applied animal science and an individual holding a doctor of veterinary medicine or a doctoral degree in an applied animal science; is conducted in this state in an applied animal science; improves the scientific knowledge base or increases scientific innovation, performance, or viability within this state; the results of the research are evaluated by a person educated and trained in statistics by an accredited university and capable of applying generally accepted methodologies to the results in accordance with industry standards in an applied animal science; and the results of the research are made available to the public by submission to or publication in a journal, magazine, or similar periodical, if the statistical evaluation indicated the research is reliable and relevant to an applied animal science.

(C) As used in this subparagraph subdivision, *"applied animal science"* includes the areas of animal science, veterinary medicine, nutritional science, genetic science, and microbiology.

Sec. ___. Section 422.33, subsection 5, paragraph e, subparagraph (1), subparagraph division (b), subparagraph subdivision (i), Code 2025, is amended to read as follows:

(i) (A) A person engaged in agricultural production as defined in section 423.1, except if the credit is based on conducting agriscience research and the person or the business is engaged in bovine and porcine veterinary research, the person shall not be considered to be engaged in agricultural production as defined in section 423.1.

(B) As used in this subparagraph subdivision, *"agriscience research"* means research that is approved and overseen or monitored by a board that includes, at a minimum, an individual who was employed with, contracted by, or professionally trained by an accredited university as a researcher in an applied animal science and an individual holding a doctor of veterinary medicine or a doctoral degree in an applied animal science; is conducted in this state in an applied animal science; improves the scientific knowledge base or increases scientific innovation, performance, or viability within this state; the results of the research are evaluated by a person educated and trained in statistics by an accredited university and capable of applying generally accepted methodologies to the results in accordance with industry standards in an applied animal science; and the results of the research are made available to the public by submission to or publication in a journal, magazine, or similar periodical, if the statistical evaluation indicated the research is reliable and relevant to an applied animal science.

(C) As used in this subparagraph subdivision, *"applied animal science"* includes the areas of animal science, veterinary medicine, nutritional science, genetic science, and microbiology.

Sec. ___. RETROACTIVE APPLICABILITY. This division of this Act applies retroactively to January 1, 2017, for tax years beginning on or after that date.

DIVISION ___

MOTOR FUEL TAXES — REPORTING

Sec. ___. Section 452A.3, subsection 1, paragraph b, unnumbered paragraph 1, Code 2025, is amended to read as follows:

On and after July 1, 2030, an excise tax of thirty cents is imposed on each gallon of ethanol blended gasoline classified as E-15 or higher. Before July 1, 2030, the rate of the excise tax on ethanol blended gasoline classified as E-15 or higher shall be based on the number of gallons of ethanol blended gasoline classified as E-15 or higher that are distributed in this state as expressed as a percentage of the number of gallons of motor fuel distributed in this state, which is referred to as the distribution percentage. For purposes of this paragraph *"b"*, only ethanol blended gasoline and nonblended gasoline, not including aviation gasoline, shall be used in determining the percentage basis for the excise tax. The department shall determine the percentage basis for each determination period beginning January 1 and ending December 31 based on information from reports submitted to the department for filing pursuant to section 452A.33. Before June 1, the department may amend the distribution percentage due to a mistake or if there is a late report filed by a retail dealer to the department under section 452A.33, subsection 1. The rate for the excise tax shall apply for the period beginning July 1 and ending June 30 following the end of the determination period. Before July 1, 2030, the rate of the excise tax on each gallon of ethanol blended gasoline classified as E-15 or higher shall be as follows:

Sec. ___. Section 452A.3, subsection 3, paragraph a, subparagraph (2), unnumbered paragraph 1, Code 2025, is amended to read as follows:

Except as otherwise provided in this section and in this subchapter, this subparagraph shall apply to the excise tax imposed on each gallon of biodiesel blended fuel classified as B-20 or higher used for any purpose for the privilege of operating motor vehicles in this state. On and after July 1, 2030, the rate of the excise tax on each gallon of biodiesel blended fuel classified as B-20 or higher is thirty-two and five-tenths cents. Before July 1, 2030, the rate of the excise tax on each gallon of biodiesel blended fuel classified as B-20 or higher shall be based on the number of gallons of biodiesel blended fuel classified as B-20 or higher that are distributed in this state as expressed as a percentage of the number of gallons of special fuel for diesel engines of motor vehicles distributed in this state, which is referred to as the distribution percentage. The department shall determine the percentage basis for each determination period beginning January 1 and ending December 31 based on information from reports submitted to the department for filing pursuant to section 452A.33. Before June 1, the department may amend the distribution percentage due to a mistake or if there is a late report filed by a retail dealer to the department under section 452A.33, subsection 1. The rate of the excise tax shall apply for the period beginning July 1 and ending June 30 following the end of the determination period. Before July 1, 2030, the rate of the excise tax on each gallon of biodiesel blended fuel classified as B-20 or higher shall be as follows:

Sec. ___. Section 452A.15, subsection 5, Code 2025, is amended to read as follows:

5. The director may impose a civil penalty against any person who fails to timely file the reports or keep the records required under this section. The penalty shall be one hundred dollars for the first violation and shall increase by one hundred dollars for each additional violation occurring in the calendar year in which the first violation occurred.

Sec. ___. Section 452A.33, subsection 2, unnumbered paragraph 1, Code 2025, is amended to read as follows:

On or before April 1 the department shall deliver a report to the governor and the legislative services agency. Before June 1, the department may amend the report due to a mistake or if there is a late report by a retail dealer under subsection 1. The report shall compile information reported by retail dealers to the department as provided in this section and shall at least include all of the following:

DIVISION ___

E-15 PROMOTION TAX CREDIT

Sec. ___. Section 422.11O, subsection 5, paragraph b, Code 2025, is amended to read as follows:

b. This subsection is repealed January 1, ~~2026~~ 2028.

Sec. ___. Section 422.11Y, subsection 9, Code 2025, is amended to read as follows:

9. This section is repealed January 1, ~~2026~~ 2028.

Sec. ___. Section 422.33, subsection 11D, paragraph c, Code 2025, is amended to read as follows:

c. This subsection is repealed January 1, ~~2026~~ 2028.

Sec. ___. 2011 Iowa Acts, chapter 113, section 37, as amended by 2016 Iowa Acts, chapter 1106, section 3, and 2022 Iowa Acts, chapter 1067, section 57, is amended to read as follows:

SEC. 37. TAX CREDIT AVAILABILITY. For a retail dealer who may claim an E-15 plus gasoline promotion tax credit under section 422.11Y or 422.33, subsection 11D, as enacted in this Act and amended in subsequent Acts, in calendar year ~~2025~~ 2027, and whose tax year ends prior to December 31, ~~2025~~ 2027, the retail dealer may continue to claim the tax credit in the retail dealer's following tax year. In that case, the tax credit shall be calculated in the same manner as provided in section 422.11Y or 422.33, subsection 11D, as enacted in this Act and amended in subsequent Acts, for the remaining period beginning on the first day of the retail dealer's new tax year until December 31, ~~2025~~ 2027. For that remaining period, the tax credit shall be calculated in the same manner as a retail dealer whose tax year began on the previous January 1 and who is calculating the tax credit on December 31, ~~2025~~ 2027.>

107. Title page, by striking lines 1 through 13 and inserting <An Act related to state taxation and finance and other related matters, by creating, modifying, and eliminating tax credits and tax incentive programs, providing for penalties, and including effective date and retroactive

applicability provisions.>

108. By renumbering, redesignating, and correcting internal references as necessary.

____
DAN DAWSON